IRC SECTION 409A DEFERRED COMPENSATION RULES

SAFE HARBOR VALUATION PROTOCOL FOR STARTUPS

Section A: SCOPE AND DEFINITION OF 409A

Internal Revenue Code Section 409A governs non-qualified deferred compensation. It mandates that stock options granted to employees must have an exercise price equal to or greater than the fair market value of the underlying common stock on the grant date.

Section B: SAFE HARBOR VALUATION METHOD

To establish fair market value, companies can use a 'Safe Harbor' valuation method, most commonly an independent appraisal by a qualified valuation firm. A Safe Harbor valuation remains valid for a maximum of twelve (12) months or until a material event occurs.

Section C: PENALTIES FOR NON-COMPLIANCE

If stock options are issued with an exercise price below fair market value, the options fail to comply with Section 409A. The recipient faces immediate income taxation, a twenty percent (20%) federal excise tax, interest penalties, and state-level penalties.